**Course Name: Entrepreneurship Development**

**Section Name: Meghna**

**Course Instructor: Md. Mostakin Arafat Riaz**

**Lecturer**

**Department of Business Administration**

**Sonargoan University**

## Chapter: 01. Entrepreneurship: Nature and Characteristics Entrepreneurship

### Entrepreneurship

Entrepreneurship is the dynamic process of creating incremental wealth. Entrepreneurship is the purposeful activity of an individual or a group of associated individuals, undertaken to initiate, maintain or aggrandize profit by production or distribution of economic goods and services. It is any kind of innovative function that could have a bearing on the welfare of an entrepreneur. Innovation is doing things in a new and better way. It adds utility with existing operations or products.

### Characteristics of Entrepreneurship

Entrepreneurship is a dynamic multi-dimensional concept. Thus, it needs the understanding and consideration of many factors and perspectives. In this context, the differentiating characteristics of the entrepreneurship is described below:

1. **Innovation Process:**

Entrepreneurship is an innovation process. It involves with innovating a product with which consumers are not yet familiar or a new source of raw materials or a new market or a new combination of means of production or a new way of operation not yet applied.

2. **High Achievement Motivation**:

Entrepreneurship is an exhibition of need for achievement of a person. It denotes that the person with a strong desire for achievement would be an entrepreneur and the outcome of his/her highly motivated action oriented activities is entrepreneurship.

3. **Transformational Process:**

Entrepreneurship is a transformational process that improves the symbolic position of people in their larger structure. The tendency to describe the situation as a problem to be solved, an awareness of pragmatic effort required, confidence in own ability to solve the problem, a tendency to take the view point of each individual in turn are involved in transformational process.

4. **Organization Building Activity**

Entrepreneurship is an organization building activity. Entrepreneurship is the managerial skills and creativity to build new organizations to harness economic use of others' innovations. Organization building is the most critical skill required for industrial development of a country.

5. **Rewarding Activity**

Entrepreneurship is rewarding and therefore, people engage into entrepreneurial activities. Entrepreneurship gives financial, psychic and independence rewards that act as a driving force to the growth of entrepreneurship in a society.

6. **Incremental Wealth Creating Process**

Entrepreneurship is perceived as dynamic process of creating incremental wealth. Wealth is created by the individual who assumes the major risks in terms of equity, time and/or career commitment to providing value for some product or service.

7. **Social Decision Making**

Entrepreneurship is a form of social decision-making performed by economic innovators. Multivariate social variables influence the decision of entrepreneurship. Social context must favor the entrepreneurial decision making instead of deterring it.

8. **Managerial Skills and Leadership**

Entrepreneurship is the function of managerial skills and leadership. An entrepreneur must have the drive to earn profits and amass wealth. He/she must have the ability to lead and manage. Entrepreneurship innovates its own commodity and tasks it into uncertain market.

**Functions of Entrepreneurship**

Entrepreneurship performs multivariate functions in all the societies irrespective of their level of development. Some major functions of entrepreneurship are given below:

1. **Taking Initiative**

Entrepreneurship is a pro-active activity that takes such actions, which others can't even perceive. This unique function of entrepreneurship provides our civilization with a wide variety of products, ways of actions, production techniques etc.

2. **Organizing Resources**

Organizing entails identifying those resources that are required to transform a particular idea into reality. Organizing in entrepreneurship will increase productivity, promote new venture, distribute and supervise work and responsibility, and will remove barriers to work.

3. **Identifying opportunities and Prospects**

Entrepreneurship searches those activities of value that have an economic and social contribution. It identifies new opportunities in socio-economic arena, which have got profitable prospects. Entrepreneurship searches hopes into blind spots for prosperity.

4. **Risk Taking**

Entrepreneurship takes the risk for new venture, for innovative actions in the field of production technology, for new products in a volatile market and for new raw materials used in production.

5. **Decision Making**

Entrepreneurship is a new initiative therefore; it has to take decision about multivariate issues that affect new ventures. Entrepreneurship has to decide upon equipment to be used, quality, price, and its variation, deficiency, capital structure, feasibility of project, organizational structure, and philosophy of management etc. that will guide and prosper the new venture attempt for entrepreneurship.

6. **Innovation**

Entrepreneurship innovates new production process or technology, market, sources of raw materials, management, and strategy, or technique, investment opportunity etc. that are called fundamental characteristics of entrepreneurship.

7. **Social Responsibility**

Entrepreneurship with its innovative technology, somehow promotes human efforts. It restarts closed industries with innovative managerial strategy and techniques. It also motivates new entrepreneurships and attracts them to engage into entrepreneurial venture.

8. **Managerial Roles**

Entrepreneurs perform several managerial roles to keep their venture functioning with success. The entrepreneurs also does the associated managerial functions such as planning, organizing, leading and controlling.

**Importance of Entrepreneurship**

Entrepreneurs take the economy and the society that is the whole civilization to the state of progress and prosperity. Taking this into consideration, the importance of entrepreneurship is stated below:

1. **Growth of Enterprise**

Entrepreneurship is the advent of new venture particularly small ventures, in order to materialize the innovative ideas of the entrepreneurs. Thus, the growth or establishment of small enterprises is the specific contribution of entrepreneurship in every economy of the world.

2. **Creation of Job Opportunities**

Entrepreneurial firms contributed a large share of new jobs. It provides entry-level jobs so necessary for training or gaining experience for unskilled workers. Entrepreneurial ventures prepare and supply experienced labor to the large industries.

3. **Innovation**

Entrepreneurship is the incubator of the innovation. Innovation creates disequilibria in the present state of order. It goes beyond discovery and does implementation and commercialization of innovations.

4. **Impact on Community**

Development A community is better off if its employment base is diversified among many small entrepreneurial firms. It promotes abundant retail facilities, a higher level of home entrepreneurship, fewer slums, better sanitation standards and higher expenditure of education, recreation, and religious activities.

5. **Political and Economic Integration of Outsiders**

Entrepreneurship is the most effective way of integrating those who feel disposed and alienated into the economy. Minorities, migrants and women are safely integrated into entrepreneurship that will help to develop a well-composed plural society.

6. **Enhances Standard of Living**

Standard of living is a concept built on increasing amount of consumption of variety of goods and services over a particular period by a household. So, it depends on availability of diversified products in the market. Entrepreneurship provides enormous kinds of product of various natures by their innovation.

7. **Promotes Research and Development**

Entrepreneurship is innovation and hence the innovated ideas of goods and services have to be tested by experimentations. Therefore, entrepreneurship provides funds for research and development with universities and research institutions.

8. **Generates Entrepreneurs**

Entrepreneurship is the nursing ground for new inexperienced entrepreneurs. It is the field where a person can start his/her idea of venture, which may be ended up in a giant enterprise. All the large industrial ventures started as a small entrepreneurial enterprise.

**The End**

**Have a good Day.**

**If you have any Difficulty feel free to contact me**

**Md. Mostakin Arafat Riaz**

**Lecturer**

**DBA, SU**

**Cell: +8801521455876**

**Email: arafatriaz95@gmail.com**

# Entrepreneurship Development

## Chapter: 02. Nature and Features of Entrepreneur

### Entrepreneur

Entrepreneur is an innovator of new combination in the field of production. Entrepreneur is the individual who initiates, maintains, or aggrandizes a profit-oriented business unit for the production or distribution of economic goods and services. Entrepreneur is a person who accept challenges, gives emphasis on production for development, exercises vigilance about success and failure at the time of taking standard risks and considers carefully and significantly above conditions before arriving at any decisions.

### Characteristics of Entrepreneur

Entrepreneur is a person who is action oriented and highly motivated to take risk and to achieve such a goal that brings about a change in the process of generating goods or services or reinitiates a progress in the advent of creating new organizations. The characteristics that encompass the concept of entrepreneur are discussed below:

#### 1. Entrepreneur is an agent

Entrepreneur is perceived as an economic agent who assembles materials for producing goods at a cost that ensures profits and re-accumulation of capital. He/she is also understood as a change agent who brings about changes in the structure and formation of organization, market and the arena of goods and services.

#### 2. Entrepreneur is a risk taker

Many experts have emphasized this characteristic. Entrepreneur is a person who identifies the nature of risk and takes decision. Entrepreneur is a risk taker while undertaking a venture.

#### 3. Entrepreneur is a profit maker

Entrepreneur is the individual who establishes and manages a business for the principal purpose of profit and growth. This concept of entrepreneur that the entrepreneur aggrandizes a profit-oriented business.

#### 4. Entrepreneur is an achievement motivator

Entrepreneur is a person with a strong desire for achievement. Entrepreneurs are action oriented, highly motivated individuals. Therefore, entrepreneurs have to have a deep-rooted need for achieving their goals.

**5. Entrepreneur is a capital provider**

Entrepreneur is a person who operates a business by investing his/her capital. Entrepreneur is the founder of an enterprise who assembles necessary resources for the operation of the enterprise or organization.

**6. Entrepreneur is an innovator**

Entrepreneur is an innovator of new combination in the field of production. Entrepreneur is a person who takes a small venture to the edge of success by his own efforts, innovation, and motivation.

**7. Entrepreneur is a reward receiver**

Entrepreneurship is rewarding and therefore, people engage into entrepreneurial activities. Entrepreneur is a person who creates something new of value by devoting time and efforts and in turn receives monetary and personal rewards.

**8. Entrepreneur is a challenge taker**

Entrepreneur is a person who accepts challenges for developing and exercising vigilance about success and failure at the time of taking standard risks and considers carefully and significantly above conditions before arriving at any decision and to generate products.

**Classification/Types of Entrepreneurs**

**A. Nature Basis Classification**

Nature denotes here the human characteristics that act as prime motivator for taking entrepreneurial venture. On this basis entrepreneurs are classified into two groups:

**1. Individual Entrepreneur**

Person is the pioneer of entrepreneurship in the history of human civilization. When a single person undertakes entrepreneurial venture then it is termed as individual entrepreneur.

**2. Institutional Entrepreneur**

Institutions are groups of persons with a common goal. When an institution undertakes entrepreneurial ventures then it is called institutional entrepreneur.

**B. Place Basis Classification**

The place of entrepreneurial activity is the basis of classifying entrepreneurs into two categories, such as urban and rural entrepreneurs.

**1. Urban Entrepreneur**

Urban entrepreneurs are the persons who initiate their venture in the urban area of a country. They are large in number in all the countries of the world.

**2. Rural Entrepreneurs**

The balanced growth of the economy requires in rural entrepreneurs too. Rural entrepreneurs take their initiative in rural area of the country. They use indigenous resources, which enhance the use of local natural resources and enhance the local standard of living.

**C. Size Basis Classification**

Size of entrepreneurial project is taken as a basis for categorizing entrepreneurs into two classes. They are:

**1. Small Scale Entrepreneur**

Small-scale entrepreneurs are those who have small capital or investment, as well as small productive capacity, number of employment and small area of market. It denotes limited operation of business.

**2. Large Scale Entrepreneur**

Large-scale entrepreneurs are those persons or group of persons who initiates a venture with a large-scale production capacity. They address large aggregate demand and involve with huge investment in productive technology. They are small in number in all the countries of the world.

**D. Generation Basis Classification**

Entrepreneurs are classified in the context of generation too. The enormous types of new ventures initiate this classification. They are:

**1. New Generation Entrepreneurs**

New generation entrepreneurs are those who utilize technology or idea in their new version. Cyber café, fast-food shop, virtual universities are a few of the examples of new generation entrepreneurial projects.

**2. Old Generation Entrepreneurs**

Old generation entrepreneurs are those who do not like change. They normally take initiation of old styled projects. They are hesitant to new technology but fond of familiar or traditional and prevailing technology.

**Qualities of Entrepreneurs**

Entrepreneurship is the result of entrepreneurial quality of entrepreneurs. Experts have listed a long list of qualities relating to general, mental, economic, social and personal traits of entrepreneurs. Qualities of entrepreneurs are given below:

**1. Self-Confidence**

Entrepreneurship is a new venture creation process. Self-confidence is a state of mind that includes confidence, independence, individuality and optimism. Confidence is the reliance on self that one could do something.

**2. Need for Achievement**

Need for achievement is the strong orientation toward accomplishment, an obsession with success and goal attainment. It's a desire to excel or to succeed in competitive situation. Entrepreneurs have got a higher level of need for achievement.

**3. Profit Orientation**

Profit orientation is the commitment to the economic utilization of the resources to ensure profit. Entrepreneurs take venture for making a marginal gain. This gain is the profit that drives them to take ventures.

**4. Persistent**

Persistent is the quality of continuing something with determination and in spite of difficulty, opposition, argument or failure. It is a mentality to refuse to give up. Every entrepreneurs has got a bendless mind that does not bow before barriers to achieve the desired target.

**5. Hard Work**

Hard work is the quality of industriousness that shows a strong physical capacity to engage in work without any lethargy. Entrepreneurs are hardworking and energetic persons. They are immensely involved with work.

**6. Risk Taker**

All entrepreneurs are risk takers. They take their ventures in an uncertain environment of future. Every future course contents uncertainty. An entrepreneur must have a characteristic to take the challenge of uncertainty.

**7. Leadership**

Leadership is the process of influencing and directing the task-related activities of group members. It is the art of influencing people so that they will strive willingly toward the achievement of group goals. Leadership behavior refers to both people-centered and production-centered behavior.

**8. Flexibility**

Flexibility is the quality of changing self with the new conditions. Entrepreneurs have open mind and always ready to adopt new things with adaptability or use in the given situation of an economy. They are in the flux of change in order to extract the maximum benefits out of the existing opportunities and threats in the environment.

**Differences between Entrepreneurs and Manager**

| Area of Operation | Entrepreneurs | Managers |
|---|---|---|
| 1. Motive | To start a venture of difference to provide with distinct qualitative good or service to the economy. | To render an effective and efficient service in a created venture of the entrepreneurs to run the venture in a successful manner. |
| 2. Status | Owner of the venture or the holder of the patented good or service. | Servant of the venture or organization who is a salaried person. |
| 3. Risk taking | Assumes all types of risks. | Doesn't take any risk. |
| 4. Rewards | Profit that is uncertain. Independence and psychic satisfaction. | Salary that is certain. |
| 5. Innovation | Innovate new ventures with the vision and values of the entrepreneur to meet the challenging needs of the market and the organization with new, differentiated, modified and effective way. | Executes innovation developed by the entrepreneur. Manager translate the entrepreneur's ideas into picture. |
| 6. Qualification | A set of entrepreneurial qualities. | A set of managerial qualities. |
| 7. Orientation | Self-oriented, action-oriented, highly motivated for achievement. | Power-oriented while work along with others. |

**Differences between Entrepreneur and Entrepreneurship**

| Entrepreneur | Entrepreneurship |
|---|---|
| 1. A person or a group of persons | 1. A process |
| 2. An organizer | 2. An organization |
| 3. An innovator | 3. An innovation |
| 4. A risk-taker | 4. A risk bearing |
| 5. A creator | 5. A creation |
| 6. A leader | 6. A leadership |
| 7. A motivator | 7. A motivation |

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# Chapter: 03. Entrepreneurship and Intrapreneurship

## Intrapreneurship

Intrapreneurship is the change initiatives taken within a going concern by the people working in that organization. Intrapreneurship is the entrepreneurship within an existing organization. The definition implies that new initiatives, creativity, and dynamism that augment the organizational competence is intrapreneurship. The term intrapreneurship refers to a system that allows an employee to act like an entrepreneur within a company or other organization. Intrapreneurs are self-motivated, proactive, and action-oriented people who take the initiative to pursue an innovative product or service.

- Intrapreneurship is a system which allows an employee to act like an entrepreneur within an organization.

- Intrapreneurs are self-motivated, proactive, and action-oriented people who have leadership skills and think outside the box.

- Intrapreneurship is one step toward entrepreneurship—intrepreneurs can use what they've learned as part of a team to develop their own businesses.

## Differences between Intrapreneuship and Entrepreneurship

| Points of difference | Intrapreneurship | Entrepreneurship |
|---|---|---|
| 1. Definition | Intrapreneurship is the entrepreneurship within an existing organization. | Entrepreneurship is the dynamic process of creating incremental wealth. |

| | | |
|---|---|---|
| 2. Core objective | To increase competitive strength and market sustainability of the organization. | To innovate something new of socio-economic value. |
| 3. Primary motives | Enhance rewarding capacity of the organization and autonomy. | Innovation, financial gain, and independence. |
| 4. Activity | Direct participation which is more than delegation of authority. | Direct and total participation in the process of innovation. |
| 5. Risk | Bears moderate risk. | Bears all types of risk. |
| 6. Decisions | Collaborative decisions to execute dreams. | Independent decisions to execute dreams. |
| 7. Whom serves | Organization and intrapreneur himself. | Customers and entrepreneur himself. |
| 8. Time orientation | Self-imposed or organizationally stipulated time limits. | There is no time bound. |
| 9. Focus of attention | Technology and market. | Increasing sales and sustaining competition. |
| 10. Operation | Operates from inside the organization. | Operates from outside the organization. |

## Entrepreneurial Process

Entrepreneurial Process has some steps to follow, these are as follows:

- Idea generation
- Developing Business Plan
- Fund Raising
- Promoting
- Commencing

- Harvesting

## Comparison among Managers, Intrapreneurs and Entrepreneurs

| Features | Managers | Entrepreneurs | Intrapreneurs |
|---|---|---|---|
| 1. Activity | Delegates and supervises more than direct involvement. | Direct involvement | Direct involvement more than delegation. |
| 2. Risk | Careful and Moderate risk takers | All types of risk takers | Moderate risk takers |
| 3.Primary motives | Promotion and other traditional corporate rewards, such as office, staff and power. | Independence, opportunity to create, and money. | Independence and ability to advance with the corporate rewards. |
| 4. Failure and mistakes | Tries to avoid mistakes and surprises. | Deals with mistakes and failures. | Attempts to hide risky projects from view until ready. |
| 5. Decisions | Usually agrees with those in upper management positions. | Follows dream with decisions. | Able to get others to agree to help achieve dream. |

Risks Faced by Entrepreneurs

1. **Financial Risk:** The entrepreneurship has to invest money in the enterprise on the expectation of getting in return sufficient profits along with the investment. He may get attractive income or he may get only limited income. Sometimes he may incur losses.
2. **Personal Risk:** Starting a new venture uses much of the entrepreneur's energy and time. He or she has to sacrifice the pleasures attached to family and social life.
3. **Career Risk:** This risk may be caused by a number of reasons such as leaving a successful career to start a new business or the potential of failure causing damage to professional reputation.

4. **Psychological Risk:** It is the mental agonies an entrepreneur bears while organizing and running a business ventures entrepreneurs who have suffered financial catastrophe have been unable to bounce back.

# Entrepreneurship Development

## Chapter: 04. Entrepreneurial Model and Environment

### Factors that Constitute the Foundation of Entrepreneurship

The foundation provides the environment and general support that help foster entrepreneurship. The major factors that constitute the foundation of entrepreneurship are given below:

### 1. Venture Capital

Venture capital that is readily accessible provides the catalyst for starting risky ventures. No organization or company can be established without capital. To start a new business venture capital is must for that organization.

### 2. Financial Base

In addition to venture capital, a variety of financing sources both debt and equity, should be made available at reasonable cost. The cost of capital is often too high for aspiring entrepreneurs and small-business people. These people simply cannot generate enough cash flow to serve capital costs.

### 3. Education and Training

Education and different types of training programs should be available to all people all the time to provide the knowledge and expertise to achieve their personal goals to learn new skills and to achieve business goal as well.

### 4. Infrastructures

Adequate public and private infrastructures should be in place to provide efficient telecommunications systems, transportation, distribution networks and general services that make the flow of commerce smother.

### 5. Laws and Regulations

Deregulation, such as that which occurred in the telephone and transportation industries, provides a significant stimulus for new business development. Moreover, outdated antitrust laws should be modified or deleted.

### 6. Taxes

The tax system should be changed for simplification and equity. In addition, taxes should be generally reduced, especially for new businesses and older businesses that invest in research and plant modernization.

**7. Trade**

Strong trade regulations, quotas, and tariffs are normally counterproductive. Elimination of trade barriers causes domestic businesses to become more competitive and eventually stronger.

**8. Research**

For moving ahead and improving free investigations and experimentations must be made to discover new and better ways of doing things. One of the chief goals of entrepreneurship is to develop product-service ideas that will fill a new need or want in the marketplace.

**9. Public-Private Partnership**

Both the public and private sectors should work together to resolve conflicts and problems. Furthermore, strategies should be hammered out to meet international competition.

**10. Society**

Trend leaders of a society, such as writers, reporters and commentators, teachers, politicians, parents, and so forth, should extol hard work, discipline, and risk-reward. They should encourage and nurture a creative, positive spirit.

**Entrepreneurship Development Model**

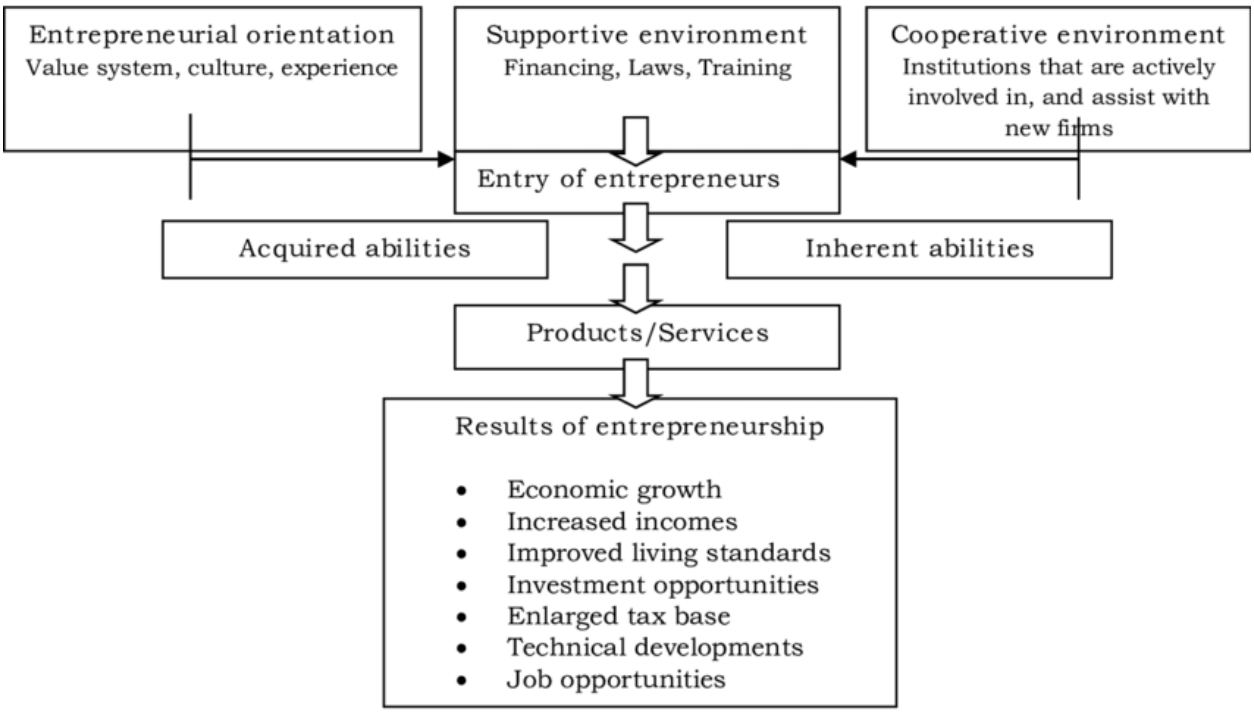


Fig: Entrepreneurship Development Model.

## Components of Collaborative Affiliation in Entrepreneurship

To a great extent, entrepreneurship is an intellectual endeavor. The collaborative affiliation components, made up of research centers, parks, universities, governments, corporations, and private groups, cooperates with entrepreneurs and venture incubators to give general guidance, expertise, and research support. Components of collaborative affiliation are stated below:

### 1. Research Facilities

These research facilities include research centers, technology and science parks, and research consortia. Establishment of these facilities represents a new wave of commitment and intensity to achieve a position of preeminence in new technologies.

### 2. Universities

Many universities also play a major role in research. Moreover, many universities provide education in general business, accounting, marketing, management, and entrepreneurship to educate people who are not only entrepreneurially motivated but also have the knowledge required to start and manage a business.

### 3. Governments

Central and local governments are taking a proactive, noninterventionist role to seek out and fund technological efforts from conception to full commercialization. Also, more efforts are being made to transfer technology from the laboratories and shelves of agencies to entrepreneurs and thereby to consumers.

### 4. Corporations

Some of the vast financial resources of corporations can be marshaled to provide equity or debt capital for investment or for the development of new products and services that would be supportive of these corporations' own operations.

### 5. Private Group

A number of private groups can develop close ties with venture incubators, such as accountants, attorneys, and banks to provide the professional expertise necessary to start a new business. Management consulting firms, business professors, professional development agencies like MIDA, BRAC, Grameen foundations etc. are acting as venture incubators in Bangladesh.

**Returns of Entrepreneurship**

All components of the entrepreneurship model are looking for definite returns, such as these:

**1. Economic Growth**

A healthy economy is one that grows at a good, steady pace without causing high levels of inflation. In essence, new businesses create wealth that is eventually distributed to all members of the society.

**2. Standard of Living**

All the stakeholders in a country's economy want economic growth coupled with an improved standard of living that includes clean air and water, safety and security, peaceful relations, equal opportunity, and quality products and services at reasonable prices.

**3. Job Creation**

Clearly, new businesses create a huge job opportunities in the country, a significant return to all members of a society.

**4. Profits**

The key stakeholders in the whole process are entrepreneurs, venture capitalists, and other investors. They all expect and deserve a substantial profit from their new businesses.

**5. Tax Base**

Clearly, all governments need ways to expand their tax base to support various programs. Some would argue that the tax base is already too broad and deep. The point here is that new businesses become taxpayers. Thus returning revenue to governments and indirectly to other groups.

**6. Image**

Research centers and universities are interested in enhancing their stature in order to attract top flight researchers and professors. They also want to secure funds to support a variety of research-educational programs.

**7. Technological Development**

Global competition dictates that great strides be made in technological development. To do so, requires massive amounts of capital and long lead times, which in turn, call for public-private partnerships. As a result, technological development would be ensured by creating or growing a good number of entrepreneurs.

**8. Investment Opportunities**

The success of one new business produces many additional entrepreneurial and investment opportunities or the creation of technology, such as transistors, fiber optics, computers, lasers, television, cellular phones, and so forth, propagates thousands of investment opportunities and new businesses.

**Factors/ Components of Environment that Affect Entrepreneurship**

Entrepreneurship does not grow without environmental support. People in the society live within the umbrella of certain environment. Therefore, entrepreneurship emerges within the environmental context in every society of the world. There are some common essential factors of environment which have been drawn by different experts as essential. These are given below:

1. Availability of venture capital
2. Presence of experienced entrepreneurs
3. Technically skilled labor force
4. Accessibility of suppliers
5. Accessibility of customers or new market
6. Favorable governmental policies
7. Proximity of universities and research institutions
8. Availability of infrastructural facilities
9. Accessibility of transportation
10. Availability of supporting services